

vice versa.

It's not perfect, but it's often better than investing with management that aren't owners. It helps solve the age-old agency problem. Seek out and prefer owner-operators.

It's preferred, but not required. There are also businesses for which it would be hard to name a CEO. Gillette was a 100-bagger in our study's time period (1962–2014). And yet I am hard pressed to name its CEO or any of its CEOs. And companies do outlive and outrun their founders and owner-operators.

#7 You Need Time: Use the Coffee-Can Approach as a Crutch

Once you do all this work to find a stock that could become a 100-bagger, you need to give it time. Even the fastest 100-baggers in our study needed about five years to get there. A more likely journey will take 20–25 years.

Knowing this, you need to find a way to defeat your own worst instincts — the impatience, the need for “action,” the powerful feeling that you need to “do something.” To defeat this baleful tendency, I offer you the coffee can as a crutch. I'm a big fan of the coffee-can approach, and we spent a whole chapter exploring the idea.

The genius of the technique lies in its simplicity. You take some portion of your money and create a “coffee-can portfolio.” What you put in it, you commit to holding for 10 years. That's it.

At the end of 10 years, you see what you have. Coffee-can experience says you will have found at least one big winner in there. Coffee-can theory says you'll have done better this way than if you had tried to more actively manage your stocks.

You may dismiss this as gimmicky. But I urge you to find some way to leave your stocks alone. Let them ripen on the vines. Don't pick them too early.

#8 You Need a Really Good Filter

There is a world of noise out there. The financial media is particularly bad. Every day, something important happens, or so they would have you believe. They narrate every twist in the market. They cover every Fed meeting. They document the endless stream of economic data and